



SB420 POISON PILL DEFENSE CHEAT SHEET

Prepared by Daniel Hughes
29th Senatorial District (Argall)

Policy Disclaimers

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POISON PILL #1: LICENSE CAPS

WHAT IT IS: Amendment limiting total number of licenses (e.g., "no more than 150 cultivator licenses statewide")

WHY IT KILLS THE BILL:

- Creates government cartel - transforms \$5K permit into \$2-5M asset
- FBI explicitly warns this structure invites corruption/bribery
- Keeps prices high, guarantees black market survival
- Benefits out-of-state investors, locks out PA family farmers

HOW TO KILL IT: "License caps create a cartel. The FBI warns this invites corruption. Illinois capped licenses and 75% of the market stayed black market while licenses traded for \$3-5M. A vote for caps is a vote for the out-of-state cartel. A vote for SB420 is a vote for Pennsylvania family farmers."

KEY DATA: Illinois has license caps → 75% black market remains → licenses trade at \$3-5M

POISON PILL #2: TAX INCREASE (above 8%)

WHAT IT IS: Amendment raising excise tax from 8% to 15%+ (framed as "maximizing revenue")

WHY IT KILLS THE BILL:

- High taxes = direct subsidy to black market
- Every percentage point above 8% makes illegal products more competitive

- California at 40% tax → black market TWICE the size of legal market
- Lower actual revenue because consumers stay illegal

HOW TO KILL IT: "Every percentage point above 8% is a direct subsidy to criminals. California set taxes at 40% and their black market is twice the size of their legal market. We project a **conservative \$80 Million** in Year 1 (Provisional Phase) to ensure market stability. We would rather collect 8% of a real market than 20% of a market that stays underground."

KEY DATA: CA at 40% tax = 67% black market retention | PA loses \$18-25.5M/month to border states

POISON PILL #3: STUDY COMMISSION / DELAY

WHAT IT IS: Amendment requiring 12-18 month "comprehensive study" before implementation

WHY IT KILLS THE BILL:

- Delay tactic designed to kill bill quietly in committee
- Delta-8 crisis continues - kids accessing untested products NOW
- \$18M monthly continues flowing to other states (\$216M annually)
- "Study" is code for "never actually implement"

HOW TO KILL IT: "While we 'study,' gas stations are selling psychoactive Delta-8 vape pens to minors with zero regulation RIGHT NOW. Pennsylvania poison control calls increased 300% in 18 months. Every month we delay is \$18M donated to New Jersey, New York, and Ohio treasuries. The Tenth Amendment doesn't require a federal permission slip to protect Pennsylvania children."

KEY DATA: Delta-8 poison control calls +300% | \$18M/month to other states | CO/WA eliminated unregulated market in 12 months

THE LITIGATION TRIGGER: "Passing this amendment doesn't just delay the market; it triggers the **Private Right of Action** in Article II. If a study delays licensing beyond the statutory deadline, the Commonwealth becomes liable for **\$5,000** per month (capped at \$10M), **per applicant** in delay damages. Voting for a study isn't just 'caution'; it is voting to expose the taxpayers to **tens of millions in immediate liability claims.**"

POISON PILL #4: PETITION-BASED EXPUNGEMENT

WHAT IT IS: Amendment replacing "automatic expungement" with "individuals may petition for relief"

WHY IT KILLS THE BILL:

- Creates \$2,000+ cost barrier (legal fees, court costs)
- Only wealthy Pennsylvanians get relief
- 3-5 year process vs. 6 months automatic
- 50,000+ people left with criminal records for conduct that's now legal

HOW TO KILL IT: "If the conduct is legal NOW, the conviction is unjust NOW. Petition-based expungement costs \$2,000+ in legal fees - you're saying only wealthy Pennsylvanians deserve justice. Automatic costs the state \$0. Petition-based creates 50,000+ court filings costing \$15M+ to process. A conviction reduces lifetime earnings by \$240,000 on average."

KEY DATA: 50,000+ PA records | Petition = \$2K+ cost | -\$240K lifetime earnings impact

POISON PILL #5: DISCRETIONARY LICENSING

WHAT IT IS: Amendment giving agency "discretion to deny unsuitable applicants based on character, financial stability, or public interest"

WHY IT KILLS THE BILL:

- Discretion = corruption vector
- "Character" and "public interest" are undefined - pure gatekeeping power
- Illinois used discretion → 71% of licenses went to existing medical operators
- Violates Article IV, Section 401 constitutional design (ministerial licensing)

HOW TO KILL IT: "Discretion IS the corruption. Article IV, Section 401 establishes ministerial licensing precisely to strip the state of this gatekeeping power. Illinois gave agencies discretion and 71% of licenses went to existing medical operators. We don't give bureaucrats discretion over who can open a brewery or gun store - cannabis business owners deserve the same due process. This is Illinois 2.0."

KEY DATA: IL discretionary system = 71% to incumbents | PA liquor ministerial licensing = <1% denial rate, zero corruption prosecutions

since 1990

POISON PILL #6: STRICT RESIDENCY REQUIREMENTS

WHAT IT IS: Amendment requiring 5+ years PA residency for owners/officers (framed as "keeping out-of-state corporations out")

WHY IT KILLS THE BILL:

- Commerce Clause violation - Supreme Court struck down Maine's identical law 9-0
- PA Attorney General warned residency >1 year = "severe constitutional doubt"
- Invites federal lawsuit Pennsylvania will lose
- Out-of-state capital will just structure around it anyway

HOW TO KILL IT: "The Supreme Court struck down Maine's identical 5-year requirement 9-0 Northeast Patients Group (1st Cir. 2022). Our own Attorney General warned anything above 1 year faces 'severe constitutional doubt.' "SB420 uses an '**Economic Nexus**' test instead. We compel companies to hire PA workers, buy PA equipment, and use PA vendors to operate here. That creates jobs, protects the market, and—unlike residency caps—it actually survives a federal lawsuit.

KEY DATA: KEY DATA... SB420 mandates Economic Nexus (local hiring/spending).

- **Attack:** "We need strict zoning to protect neighborhoods."
- **Defense:** "We mandate **Commercial Parity**. If a town allows a Rite-Aid or a Beer Distributor, they must allow a Dispensary. We don't treat legal businesses like radioactive waste."

UNIVERSAL REBUTTALS

If they attack the entire bill:

"This isn't about cannabis - it's about whether Pennsylvania keeps \$216M annually or donates it to New Jersey, New York, and Ohio. Vote NO and you're voting to fund their roads, schools, and pensions with OUR money."

If they say "we're not ready":

"We have the **ONLY** fully-drafted legislation in America. 18-month implementation timeline. Complete regulatory framework. Conservative **\$80M Year 1 revenue** (Provisional Phase) to ensure fiscal stability.

If they say "think of the children":

"The status quo IS child endangerment. Delta-8 vape pens are being sold to minors in gas stations with ZERO age verification RIGHT NOW. SB420 makes that a crime punishable by \$50,000 fine on Day 1."

The Local Ban Financial Inversion: "It is a lie that banning dispensaries loses you Liquid Fuels (road) money. SB420 **Section 405(g)** explicitly protects non-cannabis funds. The **ONLY** money a municipality loses is the **new cannabis tax revenue**. Banning is a **financially illiterate choice** to forfeit free revenue while keeping costs exactly the same."

THE THREE RED LINES

If these pass, the bill is dead:

1. License caps
2. Tax rate above 12%
3. Discretionary licensing

Action if red line crossed: Signal leadership for emergency procedural motion to kill amendment or table entire bill for renegotiation.

QUICK DATA REFERENCE

Poison Pill	Key Stat	Sound Bite
License Caps	IL: 75% black market, \$3-5M licenses	"Creates cartel, invites corruption"
Tax Increase	CA: 40% tax = 2x black market	"We collect 8% of something vs 18% of nothing"
Study Delay	+300% Delta-8 poison control calls	"\$18M/month to other states while we study"
Petition Expungement	50K records, - \$240K lifetime earnings	"Only wealthy get justice under petition system"

Discretionary	IL: 71% to incumbents	"Discretion IS the corruption"
Residency	ME law struck 9-0	"Invites federal lawsuit we'll lose

Attack: "The Feds will cut our highway money!"

- **Defense:** "We fixed that in Section 608(f). The bill includes a **Federal Indemnity Clause**. If the Feds cut \$1 of highway money, the Cannabis Fund automatically replaces it with \$1 of tax revenue. The taxpayers and drivers are held harmless."

Attack: "Neighborhoods will smell like skunk!"

- **Defense:** "Section 403.3 mandates **military-grade carbon filtration**. Any detectable smell at the property line is an immediate violation. We are stricter than any other state."

Attack: "Why can't Wawa sell it?"

- **Defense:** "Public Safety. Section 208(g) bans sales at gas stations to separate intoxicants from driving. We don't sell liquor at gas pumps for a reason."